

Mindteck Inc. and its Subsidiary

Consolidated Financial statements

March 31, 2019 and 2018

(With Independent Auditors' Report)



MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED FINANCIALS
MARCH 31, 2019 & 2018

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INDEPENDENT AUDITOR'S REPORT

The Board of Directors,
Mindteck (India) Limited

Report on the Audit of Consolidated Financial Statements**Opinion**

We have audited the accompanying consolidated financial statements of Mindteck, Inc. and its subsidiary (the Group), which comprise the consolidated balance sheet as of March 31, 2019 and the related consolidated statements of income and comprehensive income, changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements including a summary of significant accounting policies.

In our opinion, the consolidated financial statements referred to is prepared in all material respects, the consolidated financial position of the Group as at March 31, 2019 and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with recognition and measurement principles generally accepted in the United States.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with U.S. generally accepted accounting principles, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibility for the audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.



S.R. BATLIBOI & ASSOCIATES LLP

Chartered Accountants

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Basis of Accounting and Restriction on Distribution and Use

We draw attention to Note 2 to the consolidated financial statements which describes the basis of accounting. As a result, these consolidated financial statements may be used only for such purpose. These consolidated financial statements are prepared solely for internal use of the management and for providing information to PNC Bank. This report should not be used, referred to or distributed for any other purpose without our prior written consent. We do not accept or assume responsibility to anyone other than to whom this report is addressed, for our audit work, for this report, or for the opinion we have formed. Our opinion is not modified in respect of this matter.

For S.R.Batliboi & Associates LLP

Chartered Accountants

ICAI Firm Registration Number: 101049W/E300004


per Rajeev Kumar
Partner

Membership Number: 213803



UDIN: 19213803AAAAAS6797

Place: Bengaluru, India

Date: August 09, 2019

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED BALANCESHEETS
(In United States Dollars)

<u>Assets</u>	<u>As of</u> <u>March 31, 2019</u>	<u>As of</u> <u>March 31, 2018</u>
<i>Current assets:</i>		
Cash and cash equivalents	\$ 576,474	\$ 1,927,730
Accounts receivable from affiliates (Notes 3 & 10)	637,346	301,385
Accounts receivable, net of allowances (Note 3)	5,192,771	4,903,319
Unbilled revenue	1,743,441	1,720,117
Loan to affiliates (Note 10)	285,960	285,960
Deferred income tax asset (Note 9)	-	-
Income tax assets	85,391	208,078
Other current assets (Note 4)	110,087	98,879
Total current assets	\$ 8,631,470	\$ 9,445,468
Plant and equipment, net (Note 5)	17,372	22,989
Goodwill (Note 6)	2,219,224	2,219,224
Deposits	36,848	38,881
Total assets	\$ 10,904,914	\$ 11,726,562

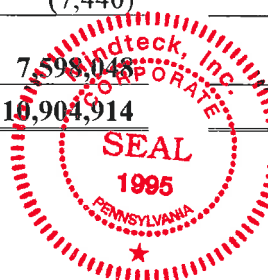
Liabilities and Stockholders' equity

<i>Current liabilities:</i>		
Accounts payable	\$ 435,806	\$ 430,540
Accounts payable to affiliates (Note 10)	697,486	766,652
Income tax liabilities	45,084	266,746
Other current liabilities (Note 8)	1,367,482	1,329,530
Unearned revenue	-	23,019
Compensated absences	327,791	355,648
Total current liabilities	\$ 2,873,649	\$ 3,172,135
Income taxes payable	4,334	4,334
Deferred income tax liability (Note 9)	428,883	457,349
Total liabilities	\$ 3,306,866	\$ 3,633,818

Commitments & Contingencies (Note 13)

Stockholders' equity

Common stock, \$1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	\$ 19,000	\$ 19,000
Additional paid-in capital	8,187,502	8,175,727
Retained earnings/(Accumulated Deficit)	(601,014)	(101,983)
Accumulated other comprehensive income	(7,440)	-
Total stockholders' equity attributable to Mindteck, Inc.	\$ 7,598,048	\$ 8,092,744
Total liabilities and stockholders' equity	\$ 10,904,914	\$ 11,726,562



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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME
(In United States Dollars)

	Year ended March 31, 2019	Year ended March 31, 2018
Revenues	\$ 25,818,350	\$ 30,071,358
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(21,909,328)	(25,631,330)
Selling, general and administrative expenses (excluding depreciation and amortization)	(4,494,270)	(5,441,798)
Depreciation and amortization (Note 5)	(13,759)	(15,710)
Total operating expenses	\$ (26,417,357)	\$ (31,088,838)
Operating income/ (loss)	(599,007)	(1,017,480)
Other income /(expense)	4,696	25,287
Interest (expense) / income, net	1,652	(222)
Income/ (loss) before income taxes	(592,659)	(992,415)
Income tax benefit / (expense) (Note 9)	93,628	(251,804)
Net income/ (loss)	\$ (499,031)	\$ (1,244,219)
Other comprehensive income :		
Foreign currency translation adjustment	(7,440)	-
Total Comprehensive income/ (loss) attributable to the Company	\$ (506,471)	\$ (1,244,219)

See accompanying notes to consolidated financial statements.



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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF EQUITY
(In United States Dollars, except share data)

	Common Stock		Additional Paid-in Capital	Retained earnings/ (Accumulated Deficit)	Accumulated Other Comprehensive income	Total Stock holders' Equity
	Number of shares	Amount				
Balances at April 01, 2017	19,000	\$ 19,000	\$ 8,141,699	\$ 1,142,236	\$ -	\$ 9,302,935
Stock compensation expense [Note 11]	-	-	34,028	-	-	34,028
Net income/(loss)	-	-	-	(1,244,219)	-	(1,244,219)
Other comprehensive income	-	-	-	-	-	-
Balances as of March 31, 2018	19,000	19,000	8,175,727	(101,983)	-	8,092,744
Stock compensation expense [Note 11]	-	-	11,775	-	-	11,775
Net income/(loss)	-	-	-	(499,031)	-	(499,031)
Other comprehensive income	-	-	-	-	(7,440)	(7,440)
Balances as of March 31, 2019	19,000	\$ 19,000	\$ 8,187,502	\$ (601,014)	\$ (7,440)	\$ 7,598,048

See accompanying notes to consolidated financial statements.



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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In United States Dollars)

	Year ended March 31, 2019	Year ended March 31, 2018
Cash flows from operating activities:		
Net income/ (loss)	\$ (499,031)	\$ (1,244,219)
<i>Adjustments to reconcile net income to net cash provided by operating activities:</i>		
Depreciation	13,759	15,710
Stock compensation expense	11,775	34,028
Provision for doubtful debts	(551)	(2,585)
Loss on sale of fixed assets	224	182
Deferred income tax (credit) / expense	(28,467)	251,804
<i>Changes in operating assets and liabilities</i>		
Accounts receivable and unbilled revenue	(648,185)	2,134,705
Other assets and deposits	(9,175)	22,579
Income taxes	(98,975)	(55,828)
Accounts payable	(63,900)	(186,581)
Other liabilities	(14,428)	(68,852)
Net cash provided by/ (used in) operating activities	\$ (1,336,954)	\$ 900,943
Cash flows from investing activities:		
Expenditure on plant and equipment	(8,366)	-
Loan given to Mindteck Germany GmbH.	-	(100,000)
Net cash provided by / (used in) investing activities	\$ (8,366)	\$ (100,000)
Effect of exchange rate changes on cash and cash equivalents	(5,936)	-
Net changes in cash and cash equivalents	\$ (1,351,256)	\$ 800,943
Cash and cash equivalents at beginning of year	1,927,730	1,126,787
Cash and cash equivalents at end of year	\$ 576,474	\$ 1,927,730
Supplementary information:		
Cash paid for interest	\$ 2,720	\$ 1,564
Cash received for interest	\$ 4,383	\$ 1,832
Income taxes paid	\$ 16,500	\$ 55,828

See accompanying notes to consolidated financial statements.



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

1. Organization and description of the business

Mindteck Inc. ("the Company"), is a software development and consulting company headquartered in Camp Hill, Pennsylvania. The Company was incorporated in November 14, 1995 and is a subsidiary of Mindteck (India) Limited ("MIL"). On January 10, 2018, Mindteck Canada, Inc. ("Mindteck Canada") was incorporated under the laws of Canada as a wholly owned subsidiary of the Company.

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements and principles of consolidation

The accompanying consolidated financial statements have been prepared, in accordance with recognition and measurement principles generally accepted in the United States, by management for its internal use and for providing information to PNC Bank.

The accompanying financial statements have been prepared on a consolidated basis and reflect the financial statements of the Company and its subsidiary that are more than 50% owned or controlled. The consolidated financial statements of the Company, includes the accounts of its wholly owned subsidiary, Mindteck Canada. All intercompany transactions and balances are eliminated in consolidation.

The functional currency and reporting currency of the Company is the United States Dollar ("USD/\$").

(b) Use of estimates:

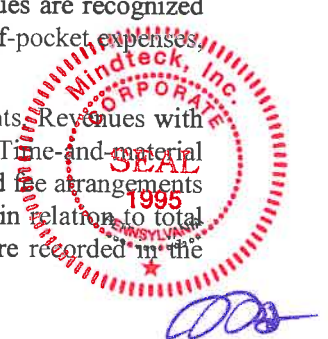
The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of plant and equipment and intangible assets, income tax valuation allowances and reserve for uncertain tax positions. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from those estimates. Management believes that the estimates used in the preparation of the consolidated financial statements are prudent and reasonable. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

Rendering of services:

The Company derives its revenues primarily from software development and IT-enabled service including technical consultancy services. Revenues are recognized when there is persuasive evidence of a contractual arrangement with customers, services have been rendered, the fee is fixed or determinable and collectability is reasonably assured. The Company has concluded that it has persuasive evidence of a contractual agreement when it enters into an agreement with its customers with terms and conditions which describe the services and the related payments are legally enforceable. Revenues are recognized net of value added tax and applicable discounts and includes reimbursements of out-of-pocket expenses, with corresponding cost for out-of-pocket expenses included in cost of revenues.

The services are performed under both time-and-material and fixed-price arrangements. Revenues with respect to time-and-material are recognized as the related services are performed. Time-and-material contracts typically bill at an agreed upon hourly or daily rate. Revenue related to fixed-price arrangements are recognized using the percentage completion method based on actual direct costs in relation to total estimated costs. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

period in which such losses become probable based on the current contract estimates.

The Company grants volume discounts to certain customers, which are computed based on a pre-determined percentage of total revenues from those customers during a specified period, as per the terms of the contract. These discounts are earned only after the customer has provided a certain specified cumulative level of revenues in the specified period. The Company reports revenues net of discount offered to customers.

The Company recognizes cash discounts as a reduction of revenues.

Multiple contracts with a single counterparty are evaluated to determine whether such contracts should be accounted for as separate contracts or aggregated and accounted for as a single contract. The Company evaluates whether the services are interdependent or interrelated with respect to the services being performed. If contracts are considered separate, the related costs are identified, tracked and reported separately and the contracts are serviced by different project management teams and potentially performed at different locations.

Interest Income:

Interest income is recognized using the time proportion method, based on the transactional interest rates.

Unbilled revenue:

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement. Billing done during the reporting period in excess of revenue recognized or billing done in advance is recorded as deferred revenue until the revenue recognition criteria is met.

Deferred revenue/ unearned revenue:

Deferred revenue represents billing in excess of revenue recognized and advance payments received from customers for which no services have been rendered.

Allowance for doubtful accounts:

Accounts receivables are reviewed periodically to determine the probability of loss. Accounts receivables are recorded at the invoiced amount and do not bear interest. The allowance for uncollectible accounts is determined using the combination of the specific identification method for balances deemed uncollectible, as well as judgments made by the Company based upon historical and expected collection experience.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, accounts and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and accounts and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions.



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

The Company has a concentration of its revenue and receivables with specific customers. The accounts receivable, net of allowances, amounted to USD 5,830,117 and USD 5,204,704 as of March 31, 2019, and 2018 respectively. Two customers accounted for 20% and 18% of total revenues in 2019 and accounted for 39% and 19% of total revenues in 2018. The amounts due from these customers accounted for 32% and 17% of accounts receivable as of March 31, 2019 and 28% and 26% as of March 31, 2018, respectively.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected. Accounts receivable balances are charged off against the allowance after all means of collection have been exhausted and the potential for recovery is considered remote.

(f) Plant and equipment, net:

Plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. Upon disposal, assets and related accumulated depreciation are removed from the Company's accounts and the resulting gains and losses are reflected in current earnings in the consolidated statements of income. The Company depreciates plant and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	Useful life
Computer and office equipment	3 years
Software	3 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

Property and equipment are reviewed for impairment if indicators of impairment arise. There were no impairment charges related to property and equipment recognized during the years ended March 31, 2019 and 2018.

(g) Goodwill:

The Company accounts for its business combinations under the acquisition method of accounting. Goodwill represents the cost of the acquired businesses in excess of the fair value assigned to identifiable net assets acquired.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting units is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

h) Employee Benefits:

Defined Contribution Plan

Eligible employees of the Company in the United States may elect to participate in an employee retirement savings plan maintained pursuant to Section 401(k) of the United States Internal Revenue Code of 1986, as amended, (the “401(k) Plan”). The 401(k) Plan allows for employees to defer a portion of their annual earnings on a pre-tax basis through voluntary contributions to the 401(k) Plan. The Company may make discretionary matching contributions under the 401(k) Plan, but the Company is not currently making any such matching contributions.

(i) Income taxes:

Income taxes are accounted for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of income in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

ASC 740 clarifies the accounting for uncertainty in income taxes recognized in an enterprise’s financial statements and prescribes a recognition threshold and measurement attribute for the financial statements recognition and measurement of a tax position taken or expected to be taken in a tax return. The Company is required to recognize in the financial statements the impact of a tax position, if that position is more likely than not of being sustained on audit, based on the technical merits of the position. For the year ended March 31, 2019, the Board of Directors identified no material uncertain income tax positions relevant to the jurisdictions where the Company is required to file income tax returns.

Pursuant to adoption of ASU 2015-17 “*Balance sheet Classification of Deferred Taxes*”, the Company has classified all deferred tax assets and liabilities as non-current on the balance sheet prospectively.

(j) Compensated absences:

The Company’s liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates.

(k) Foreign currency translation:

Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled.



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

The functional currency of Mindteck Inc. is U.S. dollars. The functional currency of Mindteck Canada Inc. is determined as Canadian dollars (CAD) based on the evaluation of the individual and collective economic factors as discussed in ASC Topic 830-10. The assets and liabilities of Mindteck Canada Inc. are translated into U.S. dollars (\$) exchange rates in effect at the balance sheet date, and revenues and expenses are translated at average rates of exchange in effect during the period. The resulting cumulative translation adjustment is recorded in accumulated other comprehensive income in stockholders' equity.

(l) Employee stock options:

Certain employees of the Company have been granted stock options under MIL's Mindteck Employee Stock Option Scheme, 2005, and Employee Stock Option Scheme 2008, which gives such employees the right to purchase equity shares of MIL on exercise.

The Company accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks-based payments awards based on the grant date fair value of those awards. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(m) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fine and penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated. Legal costs incurred in connection with the same are expensed as incurred.

(n) Leases

(i) Operating leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased asset are classified as operating leases. Payments for assets acquired under an operating lease are recognized in the consolidated statement of income over the term of the lease on a straight-line basis.

(o) Cost of revenues and selling, general and administrative expenses

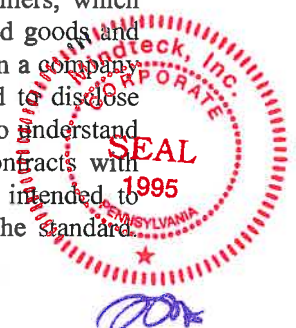
Cost of revenue primarily includes the compensation cost of technical staff, travel costs, sub-contractor costs, data and portal expenses, and other expenses that are related to the generation of revenue.

Selling, general and administrative expenses generally include the compensation cost of sales, management and advisory personnel, travel costs, training cost, advertising, business promotion, rent, repairs, electricity, communication expenses and other general expenses not attributable to cost of revenue.

Advertising costs are expensed as incurred and are included in selling, general and administrative expenses.

(p) Recently issued accounting pronouncements

(i) In May 2014, the FASB issued ASU 2014-09, Revenue from Contracts with Customers, which requires a company to recognize revenue when the company transfers control of promised goods and services to the customer. Revenue is recognized in an amount that reflects the consideration a company expects to receive in exchange for those goods or services. A company also is required to disclose sufficient quantitative and qualitative information to enable users of financial statements to understand the nature, amount, timing, and uncertainty of revenue and cash flows arising from contracts with customers. The FASB also has issued several amendments to the standard, which are intended to promote a more consistent interpretation and application of the principles outlined in the standard.



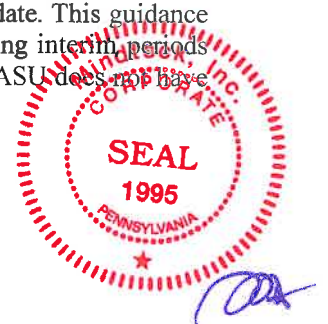
MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

Companies are permitted to adopt the standard using a retrospective transition method (i.e., restate all prior periods presented) or a cumulative effect method (i.e., recognize the cumulative effect of initially applying the guidance at the date of initial application with no restatement of prior periods). However, both methods allow companies to elect certain practical expedients on transition that will help to simplify how a company restates its contracts. The Company currently anticipates adopting the standard using the cumulative effect method and expects to elect the practical expedient for contract modifications. The new standard is effective for the Company for annual periods in fiscal years beginning after December 15, 2018. All companies are permitted to early adopt the standard beginning January 1, 2017. The adoption of the ASU is not expected to have significant impact on the consolidated financials.

(ii) In February 2016, the FASB issued ASU 2016-02, Leases (Topic 842), which requires lessees to recognize leases on-balance sheet and disclose key information about leasing arrangements. The new standard establishes a right of use (ROU) model that requires a lessee to recognize a ROU asset and lease liability on the balance sheet for all leases with a term longer than 12 months. Leases will be classified as finance or operating, with classification affecting the pattern and classification of expense recognition in the income statement. The new standard is effective for the Company on January 1, 2020, with early adoption permitted. The Company will implement the provisions of ASU 2016-02 as of April 01, 2020.

(iii) In January 2017, the FASB issued ASU 2017-04, "Intangibles-Goodwill and Other (Topic 350)". The ASU makes amendments related to subsequent measurement of goodwill by eliminating Step 2 from the goodwill impairment testing. An entity is required to perform its annual, or interim, goodwill impairment test by comparing the fair value of a reporting unit with its carrying amount. An entity should recognize an impairment charge for the amount by which the carrying amount exceeds the reporting unit's fair value; however, the loss recognized should not exceed the total amount of goodwill allocated to that reporting unit. Additionally, an entity should consider income tax effects from any tax deductible goodwill on the carrying amount of the reporting unit when measuring the goodwill impairment loss, if applicable. The requirements for any reporting unit with a zero or negative carrying amount to perform a qualitative assessment has also been eliminated. This guidance is effective for annual reporting periods beginning after December 15, 2021, including interim periods within that reporting period, on a prospective basis. Early adoption is permitted. The ASU does not have an impact on our consolidated financial statements.

(iv) In May 2017, the FASB issued ASU 2017-09, "Compensation – Stock Compensation (Topic 718)". The ASU provides guidance about which changes to the terms or conditions of a share-based payment award require an entity to apply modification accounting in Topic 718. An entity should account for the effects of a modification unless all the following are met: 1. The fair value (or calculated value or intrinsic value, if such an alternative measurement method is used) of the modified award is the same as the fair value (or calculated value or intrinsic value, if such an alternative measurement method is used) of the original award immediately before the original award is modified. If the modification does not affect any of the inputs to the valuation technique that the entity uses to value the award, the entity is not required to estimate the value immediately before and after the modification. 2. The vesting conditions of the modified award are the same as the vesting conditions of the original award immediately before the original award is modified. 3. The classification of the modified award as an equity instrument or a liability instrument is the same as the classification of the original award immediately before the original award is modified. The current disclosure requirements in Topic 718 apply regardless of whether an entity is required to apply modification accounting under the amendments in this Update. This guidance is effective for annual reporting periods beginning after December 15, 2017, including interim periods within that reporting period, on a prospective basis. Early adoption is permitted. The ASU does not have an impact on our consolidated financial statements.



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3. Accounts receivable:

Accounts receivable consists of:

	As of March 31,	
	2019	2018
Accounts receivable from affiliates (Refer Note 10)	637,346	301,385
Accounts receivable, gross	5,222,072	4,933,171
Less: Allowance for doubtful accounts	(29,301)	(29,852)
Accounts receivable, net of allowances	5,192,771	4,903,319

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:

	For the year ended March 31,	
	2019	2018
Allowance at the beginning of the year	29,852	32,437
Charge-off during the year	-	(384,786)
Provision reversed due to collection	(551)	-
Provision during the year	-	382,201
Allowance at the end of the year	29,301	29,852

4. Other current assets:

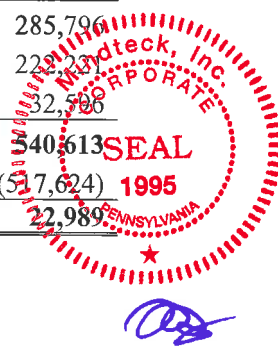
Other current assets consist of the following:

	As of March 31,	
	2019	2018
Prepaid expenses	43,726	46,547
Advances to suppliers and others	33,649	261
Deposits	32,712	52,071
Other current assets	110,087	98,879

5. Plant and equipment, net:

Plant and equipment, net consist of the following:

	As of March 31,	
	2019	2018
Computer equipment	290,028	285,796
Furniture and fixtures & office equipment	220,553	222,237
Leasehold improvements	32,596	32,500
Plant and equipment, gross	543,177	540,533
Less: Accumulated depreciation	(525,805)	(517,624)
Plant and equipment, net	17,372	22,909



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Depreciation expense on plant and equipment amounted to USD 13,759 and USD 15,710 for the years ended March 31, 2019 and 2018 respectively.

6. Goodwill:

Goodwill of USD 2,219,224 represents the excess of the aggregate purchase price over the fair value of net assets acquired in connection with a business combination that was consummated during the year ended March 31, 2006.

Goodwill is tested for impairment at least annually. The fair value of the Company's reporting unit was determined on the basis of an independent valuation using the market approach and the discounted cash flow approach. No impairment was identified as of March 31, 2019 and 2018.

7. Borrowings from bank:

On August 24, 2017, the Company entered into a revolving line of credit with PNC Bank that permits the Company to draw up to USD 2,000,000 through 2019, bearing interest at LIBOR plus 2% for the year ended March 31, 2019. The Company must also pay an unused fee of 0.10%. At March 31, 2019, the Company had USD 2,000,000 available to be drawn down under this facility. Borrowings are collateralized by a first lien on accounts receivable and a pledge on all business assets of the Company.

The interest and unused fee on the above facilities amounted to USD 2,028 and USD 2,050 for the years ended March 31, 2019 and 2018 respectively have been charged to interest expense.

8. Other current liabilities:

Other current liabilities consist of:

	As of March 31,	
	2019	2018
Salary and wages payable	488,774	627,670
Accrued expenses	759,323	660,414
Statutory liabilities	119,385	41,446
Other current liabilities	1,367,482	1,329,530



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9. Income taxes:

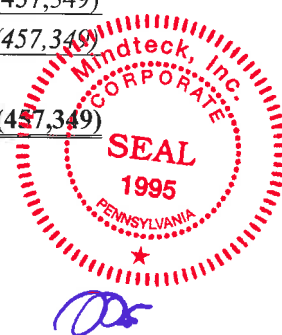
The income tax expense during the years ended March 31, 2019 and 2018 consist of the following:

	For the year ended March 31,	
	2019	2018
Current tax expense/(benefit):		
Federal	(221,662)	-
State	156,501	-
	(65,161)	-
Deferred tax expense/(benefit):		
Federal	(36,067)	187,034
State	7,600	64,770
	(28,467)	251,804
Income tax expense/(benefit)	(93,628)	251,804

For the year ended March 31, 2018, Income tax expense attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 21% primarily due to changes in valuation allowance. For the year ended March 31, 2019, income tax benefit is primarily the result of the change in reserve of uncertain tax positions per guidelines of ASC740 and changes in valuation allowance.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2019 and 2018 are as follows:

	As of March 31,	
	2019	2018
Deferred tax assets:		
Bad debt reserve	7,599	7,763
Carry forward business losses	731,926	337,350
Intangible assets	44,952	67,609
Accrued expenses and liabilities	109,933	108,774
Plant and equipment	1,430	348
AMT Credit	65,250	-
Others	1,815	73,430
Total gross deferred tax asset	962,905	595,274
Less: Valuation allowance	(897,655)	(595,274)
<i>Total deferred tax assets</i>	<i>65,250</i>	<i>-</i>
Deferred tax liabilities:		
Goodwill	(494,133)	(457,349)
<i>Total deferred tax liabilities</i>	<i>(494,133)</i>	<i>(457,349)</i>
Net deferred tax liability	(428,883)	(457,349)



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Classified as:

Deferred tax asset – Current	-	-
Deferred tax asset – Non-current	65,250	-
Deferred tax liability – Non-current	494,133	457,349

Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will not realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2019. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced.

The Company has recorded a valuation allowance of USD 897,655 and USD 595,274 as of March 31, 2019 and March 31, 2018 respectively representing an increase in valuation allowance of USD 302,381 on deferred tax assets including deferred tax assets in relation to the net operating loss carry forward. Management based on its future business projections believes that it is more likely than not that the Company will not be able to utilize the deferred tax asset.

As of March 31, 2019, the Company has federal net operating loss carry forwards of USD 3,110,630 and state net operating loss carry forwards of USD 1,595,000 available to offset future taxable income, which expire in various years beginning in 2032.

The Company had net operating loss carryforwards which were subject to limitation under section 382 of US Tax Code. As of March 31, 2019 and 2018, the Company had federal cash tax exposure of USD 39,066 and USD 260,728 respectively, for uncertain tax positions if the net operating loss utilization be challenged due to limitation under section 382. As of March 31, 2019, reserve for unrecognized tax benefits was USD 39,066 including accrual for interest of USD Nil.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination for tax years after 2016. With few exceptions, the state filings are no longer subject to examination by the tax authorities for tax years before 2015. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.



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10. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	For the year ended March 31,	
	2019	2018
Income from IT-enabled services:		
a) Mindteck (India) Limited – holding company	83,163	-

	For the year ended March 31,	
	2019	2018
Reimbursement of expenses incurred on behalf of :		
a) Mindteck (India) Limited – holding company	319,323	133,314
b) Mindteck UK Limited - fellow subsidiary	1,249	3,553
c) Mindteck Singapore Pte Ltd– fellow subsidiary	631	1,514
d) Mindteck Germany GmbH– fellow subsidiary	19,125	2,565
e) Mindteck Malaysia – fellow subsidiary	426	733
f) Mindteck Middle East Limited SPC - fellow subsidiary	426	733

Subcontracting costs:

a) Mindteck (India) Limited – holding company	5,430,467	5,923,290
b) Mindteck Singapore Pte Ltd– fellow subsidiary	63,983	233,594

Reimbursement of expenses incurred by:

a) Mindteck (India) Limited – holding company	281,557	432,898
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The balances receivable from and payable to related parties as at March 31, 2019 and 2018 are as follows:

	As of March 31,	
	2019	2018
Accounts receivable:		
Mindteck (India) Limited - holding company	524,993	205,670
Mindteck Germany GmbH - fellow subsidiary	111,065	91,940
Mindteck Malaysia – fellow subsidiary	-	511
Mindteck Middle East Limited SPC - fellow subsidiary	1,204	778
Mindteck Singapore Pte Ltd - fellow subsidiary	-	1,167
Mindteck UK Limited - fellow subsidiary	84	1,319
Total	637,346	301,385

	As of March 31,	
	2019	2018
Accounts payables:		
Mindteck (India) Limited – holding company	633,503	727,850
Mindteck Singapore Pte Ltd– fellow subsidiary	63,983	38,802
Total	697,486	766,652



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	As of March 31,	
	2019	2018
Loans to affiliates:		
Mindteck Germany GmbH – fellow subsidiary	100,000	100,000
Mindteck Middle East Limited SPC – fellow subsidiary	185,960	185,960
Total	285,960	285,960

Loan to Mindteck Middle East Limited SPC is interest-free and repayable on demand. Loan to Mindteck Germany GmbH carries interest of 3.5% with an option to pay anytime on or before 19 September 2019. The interest income relating to the loan to Mindteck Germany GmbH as at March 31, 2019 and March 31, 2018 amounts to USD 3,500 and USD 1,832 respectively.

11. Stock option plan

Mindteck Employees Stock Option Scheme 2005

Mindteck (India) Limited introduced the “Mindteck Employees Stock Option Scheme 2005” (“the Option Scheme 2005”) for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors of MIL. The options vest annually in a graded manner over a three-year period and are exercisable during a maximum period of five years from the date of vesting.

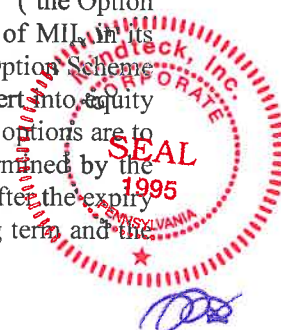
Mindteck (India) Limited has granted Nil options and 4,800 options during the year ended March 31, 2019 and 2018, respectively.

Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2019	2018	2019	2018
Outstanding at the beginning of the year	30,300	25,500	0.53	0.39
Granted during the year	-	4,800	-	1.26
Forfeited and lapsed during the year	(16,200)	-	0.54	-
Exercised during the year	-	-	-	-
Outstanding at the end of the year	14,100	30,300	0.43	0.53
Exercisable at the end of the year	14,100	25,500	0.43	0.39

Mindteck Employees Stock Option Scheme 2008

Mindteck (India) Limited introduced the ‘Mindteck Employees Stock Option Scheme 2008’ (‘the Option Scheme 2008’) for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on May 27, 2008 and the shareholders meeting held on July 30, 2008. The Option Scheme 2008 provides for the creation and issue of 1,200,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options will vest after the expiry of a period of twelve months from the date on which the options are granted. The vesting term and the



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period over which the options are exercisable is to be decided by the Nomination & Remuneration Committee of the Board of Directors.

The Company has granted Nil and 13,800 options during the year ended March 31, 2019 and 2018, respectively.

Stock option activity under the Option Scheme 2008 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2019	2018	2019	2018
Outstanding at the beginning of the year	142,200	133,400	1.29	1.28
Granted during the year	-	13,800	-	1.14
Forfeited and lapsed during the year	(22,200)	(5,000)	1.22	0.68
Exercised during the year	-	-	-	-
Outstanding at the end of the year	120,000	142,200	1.19	1.29
Exercisable at the end of the year	86,667	56,133	1.14	1.16

The following table summarizes key information relating to the Option Scheme 2005 & Option Scheme 2008:

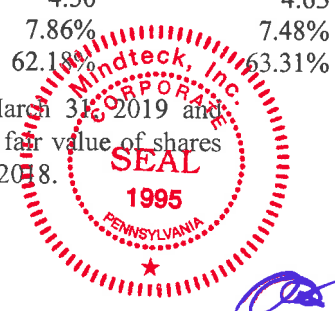
Particulars	Weighted average remaining contractual life		Range of exercise price	
	2019	2018	2019	2018
Option Scheme 2005	0.50	3.18	\$0.27-\$0.53	\$0.30-\$1.26
Option Scheme 2008	3.36	5.17	\$0.62-\$1.30	\$0.68-\$1.61

During the year ended March 31, 2019 and 2018, the Company recognized approximately USD 11,775 and USD 34,028 as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

The per share weighted average fair value of stock options granted during the year ended March 31, 2019 and 2018 were Nil and USD 0.52, respectively. The fair value of each stock option grant is estimated on the date of grant using the Black-Scholes option pricing model with the following assumptions:

Particulars	2019		2018	
	ESOP 2005	ESOP 2008	ESOP 2005	ESOP 2008
Dividend Yield	1.28%	2.84%	1.49%	2.42%
Expected term	5.00	4.50	4.50	4.63
Risk free interest rate	8.46%	7.84%	7.86%	7.48%
Volatility	62.15%	63.71%	62.18%	63.31%

The unamortized stock compensation cost relating to unvested options as at March 31, 2019 and March 31, 2018 amounts to USD 21,798 and USD 61,433, respectively. The total fair value of shares vested was USD 21,798 and USD 2,873 during the years ended March 31, 2019 and 2018.



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12. Leases

Operating Leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

As at March 31, 2019, future minimum lease payments under non-cancelable leases are:

Year ending March 31, 2020	170,488
Year ending March 31, 2021	94,932
Total	265,420

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 218,491 and USD 231,266 for the years ended March 31, 2019 and 2018 respectively.

13. Commitments and Contingencies

Capital Commitments

There were no capital commitments as of March 31, 2019 and 2018.

Contingencies and lawsuits

The Company is involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

14. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the Board of Directors.

15. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements. The Company evaluated all events or transactions that occurred between March 31, 2019 and July 19, 2019 the date the Company issued their financial statements and determined that no events or transactions which would require adjustments or disclosure in the Company's financial statements.

